(9) Income Taxes

Income tax expense (benefit) is comprised of the following:

	Fiscal Year		
	2012	2011	2010
Current federal	$—	$(3,124)	$ (815)
Current state and local	289	283	120
Deferred federal, state, and local	8	7,725	1,381
	$297	$ 4,884	$ 686

The difference between expected federal income tax expense based upon statutory rates and actual income tax expense is as follows:

	Fiscal Year					
	2012		2011		2010	
Expected income tax expense (benefit) at statutory rate	$(3,065)	(34.0%)	$(4,316)	(34.0%)	$ 813	34.0%
State and local income taxes, net of federal income tax effect	(86)	(1.0%)	(164)	(1.3%)	132	5.5%
Valuation allowance	3,189	35.4%	8,617	67.9%	—	—
Return to provision adjustment	38	0.4%	485	3.8%	—	—
Other	221	2.5%	262	2.1%	(259)	(10.8%)
	$ 297	3.3%	$ 4,884	38.5%	$ 686	28.7%

Deferred income taxes have been established based upon the temporary differences between the financial statement and income tax bases of assets and liabilities. The reversal of the temporary differences will result in taxable or deductible amounts in future years when the related asset or liability is recovered or settled. A valuation allowance is required if it is more likely than not that a deferred tax asset will not be realized. In assessing the need for a valuation allowance, we considered all available positive and negative evidence, including our ability to carry back operating losses to prior periods, projected future taxable income, tax planning strategies and the reversal of deferred tax liabilities. Based on this analysis, we determined that it was more likely than not that our deferred tax assets will not be realized. As such, we established a valuation allowance of approximately $8.6 million as of January 31, 2012 which has increased to $11.0 million by January 31, 2013. We reassess the valuation allowance quarterly, and if future evidence allows for a partial or full release of the valuation allowance, a tax benefit will be recorded accordingly. The tax effects of temporary differences that give rise to significant portions of the deferred tax assets and deferred tax liabilities are presented below:

	Fiscal Year	
	2012	2011
Deferred tax assets:		
Deferred gift card revenue	$3,410	$3,154
Deferred rent and lease incentives	2,122	2,337
Inventories	1,439	2,346

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Property and equipment	6,385	3,195
Abandoned leases	789	1,010
Operating loss carryforwards	422	1,554
Other	2,250	2,138
Total deferred tax assets	16,817	15,734
Valuation allowance	(11,019)	(8,617)
Net deferred tax assets	5,798	7,117
Deferred tax liabilities:		
Rental assets	(5,848)	(7,159)
Total deferred tax liabilities	(5,848)	(7,159)
Net deferred tax liabilities	$ (50)	$ (42)

Included in total deferred tax assets are net U.S. operating loss carryforwards of $1.2 million that expire in fiscal 2031.

We follow the provisions of ASC 740, *Income Taxes*, which clarifies the accounting and disclosure for uncertainty in income taxes. Below is a reconciliation of the beginning and ending amount of unrecognized tax benefits relating to uncertain tax positions, which are recorded in our Consolidated Balance Sheets.

	Fiscal Year		
	2012	2011	2010
Unrecognized tax positions at beginning of period	$ 186	$ 186	$ 186
Increases in tax positions from prior years	—	—	—
Decreases in tax positions from prior years	—	—	—
Increases in tax positions from current year	—	—	—
Settlements with taxing authorities	—	—	—
Lapse in statute of limitations	—	—	—
Unrecognized tax positions at end of period	$ 186	$ 186	$ 186

As of January 31, 2013 and January 31, 2012, the Company had unrecognized tax benefits related to certain state jurisdictions in the amount of approximately $186,000. If recognized, this amount would result in a favorable effect on our effective tax rate.

We classify interest expense and penalties related to our uncertain tax positions as a component of income tax expense in the statement of operations. As of January 31, 2013 and 2012, we had current liabilities for penalties and interest in the amount of approximately $284,000 and $266,000, respectively. We recognized approximately $12,000 of interest as a component of income tax during each of the fiscal years ended January 31, 2013, 2012, and 2011.

Hastings and its subsidiary file a consolidated U.S. Federal income tax return as well as separate, unitary and combined income tax returns in several state jurisdictions. During fiscal 2012, the IRS initiated an audit of our U.S. federal tax return for fiscal years 2009, 2010 and 2011. State jurisdictions have statutes of limitations generally ranging from three to five years.